

Standard & Poor's 500 change. The table shows the average gain in the S&P 500 index from the breakout of the diving board pattern to the ultimate high for the pattern. The pattern outperforms the index and that's typical for chart pattern performance, regardless of the pattern type. Even so, having the general market help carry the stock is a nice addition.

Days to ultimate high. The time to reach the ultimate high is about 15 months. Keep in mind that the average rise is 73%, so price climbing that far will take longer than smaller rises. Nevertheless, this is a chart pattern best suited for long-term investing and not swing trading.

[Table 25.11](#) discusses statistics to trade the recovery from the plunge low, something that may interest shorter-term traders.

How many change trend? Almost three-quarters of the patterns (72%) will see price rise more than 20% after the breakout. That's a huge percentage. Again, it probably has more to do with the weekly scale and how it affects the rise from the breakout to the ultimate high.

[Table 25.3](#) shows cumulative failure rates for the diving board pattern. I measure failure by how often price fails to reach a target. For example, I found that 34 or 4% of diving board patterns failed to rise more than 5% after the breakout. An additional 68 patterns, for a total of 102 (68 + 34) or 13% of the total, failed to see price rise more than 10%.